The rulers of all the eighteenth century states tried to legitimise their position by acknowledging the nominal supremacy of the Mughal emperor and by seeking his approval as his representatives. Moreover, nearly all of them adopted the methods and spirit of Mughal administration. The first group of states (succession states) inherited functioning Mughal administrative structures and institutions; others tried to adopt and adapt in varying degrees this structure and institutions, including the Mughal revenue system.

The rulers of these states established law and order and viable economic and administrative structures. They curbed, with varying degrees of success, the lower local officials and petty chiefs and zamindars who constantly fought with higher authorities for control over the surplus produce of the peasant, and who sometimes succeeded in establishing local centres of power and patronage. They also conciliated and accommodated these local chiefs and zamindars who desired peace and law and order. In general, there was in most of the states decentralisation of political authority, with chiefs, jagirdars and zamindars gaining in economic and political power. The politics of these states were invariably non-communal or secular, the motivations of their rulers being similar in economic and political terms. These rulers did not discriminate on religious grounds in public appointments, civil or military; nor did the rebels against their authority pay much attention to the religion of the rulers. There is, therefore, little warrant for the belief that the decline and break-up of the Mughal empire was followed by ‘anarchy' or breakdown of law and order in different parts of India. In fact, whatever anarchy in administration and economy existed in the eighteenth century usually followed British wars of conquest and British intervention in the internal affairs of the Indian states.

None of these states, however, succeeded in arresting the economic crisis which had set in during the seventeenth century. All of them remained basically rent-extracting states. The zamindars and jagirdars, whose number and political strength constantly increased, continued to fight over the income from agriculture, while the condition of the peasantry continued to deteriorate. While these states prevented any